BENTONVILLE, ARKANSAS

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Market Research Brief

407–409 SE F St — SE Market District

February 2026

Confidential

Market Research Brief — Bentonville Wellness Center

> *Consolidated market data supporting the wellness center concept at 407-409 SE F St, Bentonville, AR.*

1. Bentonville Demographics & Growth

Population & Growth

- **Bentonville city population (2024):** 58,249 (Census est.); projected 63,534 for 2025
- **Annual growth rate:** ~3.6% — city gaining ~2,000+ residents/year
- **NWA metro (Fayetteville-Springdale-Rogers MSA):** ~605,615 (2024), approaching 650K
- **NWA metro ranking:** 22nd fastest-growing US metro by percentage
- **Projected:** NWA expected to reach 1M+ population by 2050

Income & Education

- **Median household income (Bentonville):** $112,792 (Census 2024 — verified)
- **NWA metro median HHI:** $81,650 — Bentonville is 38% above metro average
- **Median age:** 32.5 years (prime wellness consumer cohort)
- **Education:** ~49.5% hold bachelor's degree or higher (29% BA + 20.5% graduate) — well above national 33%
- **Age 25-44:** 36.5% of population — the core wellness consumer demographic
- **Workforce:** Highly educated, corporate-professional skew due to Walmart, Tyson, J.B. Hunt HQs

Major Employers

COMPANY	HQ/PRESENCE	EMPLOYEES (NWA)
Walmart	Global HQ	~15,000+ corporate
Tyson Foods	Regional HQ	5,000+
J.B. Hunt	Global HQ	5,000+
Walmart vendor community	Bentonville offices	1,500+ companies, est. 30,000+ workers
University of Arkansas	Fayetteville	Major employer

Key insight: The Walmart vendor ecosystem alone creates a massive population of high-income professionals — many relocating from coastal cities, bringing premium wellness expectations with them.

Demographics Profile

- **Age distribution:** Median age 32.5 (vs. national ~38). Under 15: 24%, 25-44: 36.5%, 65+: only 7.3%
- **Household composition:** High percentage of young families + single professionals
- **Cultural identity:** Trademarked “Mountain Biking Capital of the World” — cycling, trails, adventure
- **Spending patterns:** Premium-oriented; supports high-end dining, boutique retail, boutique hospitality
- **Corporate density:** Est. 30,000-40,000 corporate office employees (Walmart HQ + Tyson + J.B. Hunt + 1,600+ vendor offices). 400+ Fortune 500 companies maintain NWA supplier offices.
- **Tech/consulting presence:** Microsoft, IBM, Accenture, Oracle, Cisco, Infosys, TCS all in NWA

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2. SE Market District & Site Context

The Site: 407-409 SE F St

- **Current use:** Distribution warehouse (old/underutilized)
- **Adjacent to:** Ice House building (major redevelopment planned)
- **Zoning:** DN-4 (Downtown Neighborhood 4) — mixed-use, allows commercial, retail, wellness, hospitality

- **Lot size:** Estimated 30,000-40,000+ sq ft buildable across multiple levels
- **Trail access:** Direct adjacency to Razorback Greenway
- **Neighborhood:** SE Market District — the hottest development corridor in Bentonville

SE Market District Development Pipeline

PROJECT	STATUS	RELEVANCE
8th Street Market	Operating	75K sq ft food/culinary hub (former Tyson plant) — 2 blocks away. Blue Crane/Walton investment.
The Momentary (Crystal Bridges)	Operating	Contemporary art space (former Kraft plant) at 507 SE E St — immediate neighbor, primary foot traffic driver
Ice House redevelopment	Acquired late 2025 ($7.5M, Hart & Ashley Group). Dev start 2028.	Adjacent building — ~20K sq ft ground commercial, high-end condos, rooftop garden
Town Branch	Complete	359-360 apartment units + 12,500 sq ft commercial at 300 SE D St. Directly on Greenway.
The Holler (Ropeswing Hospitality)	Planned	Mixed-use near 8th St Market — dining, recreation, co-working
Lightbox	Under development	New residential directly across from 8th Street Market
Mid City Commons	Under development	236 mixed-use units with dog park and pickleball
Compton Hotel	Opening late 2025	142-room boutique hotel with new dining (Sestina, Field Notes)
Motto Hotel	Open	New hospitality in the district

Why This Block

- **Foot traffic convergence:** The Momentary, 8th Street Market, Razorback Greenway all funnel people through this intersection
- **Ice House synergy:** The adjacent Ice House redevelopment (2028) creates a natural campus effect — wellness center + mixed-use office/retail/dining = complete destination

- **Trail connectivity:** Razorback Greenway runs directly past the site — cyclists, runners, and walkers are the exact target market
- **Town Branch residents:** 200+ high-income households being built within 5-minute walk
- **First-mover advantage:** No premium wellness facility exists in this corridor despite perfect demographics

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3. Institutional Wellness Investment

Bentonville is receiving unprecedented institutional investment in health and wellness:

Alice Walton School of Medicine (AWSOM)

- **What:** Independent, accredited four-year medical school emphasizing whole-person, integrative, and preventive care — first new medical school of its kind in decades
- **Investment:** $250M from Alice Walton to the school + $350M to regional health infrastructure
- **Scale:** 154,000 sq ft / 14 acres. 48 students year 1, scaling to 96/year. First 5 cohorts: tuition waived.
- **Curriculum:** ARCHES model co-developed with Stanford School of Medicine — integrative, preventive, whole-person
- **Status:** Opened inaugural class July 14, 2025
- **Relevance:** Produces physicians trained to refer patients to services exactly like what this wellness center offers. Validates Bentonville as a health innovation hub.

Heartland Whole Health Institute

- **What:** Founded by Alice Walton (2019). Mission: transform US healthcare from reactive “sick care” to proactive preventive care.
- **Scale:** 85,000 sq ft facility at 850 Museum Way (Crystal Bridges campus), opened May 2025. Central pillar of **$2 billion “Vision 2030” plan** to transform NWA healthcare.
- **Relevance:** Institutional anchor for wellness innovation — positioned as a national model

Mercy / Cleveland Clinic Partnership

- **What:** Alice L. Walton Foundation + Mercy + Cleveland Clinic: **$700M, 30-year commitment** (announced late 2024)
- **Includes:** New cardiac care center, Bentonville outpatient center, physician recruitment
- **Land:** Alice Walton Foundation acquired **100 acres in Bentonville** for future healthcare campus

Crystal Bridges Museum of American Art

- **What:** World-class art museum (Alice Walton, 2011)
- **Visitors:** 600,000+ annually
- **Relevance:** Proves Bentonville can attract national/international cultural tourism. Established the "destination" thesis that a wellness center builds upon.

The Momentary

- **What:** Crystal Bridges' contemporary art and performance space
- **Location:** Adjacent to our target site
- **Relevance:** Cultural anchor driving foot traffic to SE Market District daily

Walton Family Foundation — Trail & Outdoor Investment

- **Investment:** $100M+ in NWA trail infrastructure over the past decade
- **Result:** 100+ miles of single-track mountain bike trails, Razorback Greenway (36-mile paved trail)
- **Relevance:** Created the outdoor recreation identity that makes a wellness center a natural fit

Thesis: Bentonville has built the institutional, cultural, and recreational infrastructure for a world-class wellness market — but the physical wellness product hasn't caught up. This is the gap.

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4. Competitive Landscape

Direct Competitors (Bentonville/NWA)

NAME	OFFERING	PRICING	GAP VS. OUR CONCEPT
BlakeSt.	Private fitness + spa club (21+), 100-ft ozone pool, cold plunge, steam, gym, restaurant, LotSeven Spa	$155-255/mo + $1K initiation	Social club positioning. No communal thermal, no guided experience, no content. ~21,380 sq ft.
C-Suites	Private suites — infrared sauna + cold plunge, red light therapy, Vitamin C showers	~$40-60/session	Small-format private suites. No communal experience.
SALT Health	DPC medical + spa/fitness. Functional medicine, infrared sauna, cold plunge shower, steam	$149/mo (spa-only) / $349-699/mo (medical)	Clinical wellness. ~12,300 sq ft. Waitlist model — demand signal.
Zivel	Infrared sauna, cryotherapy, anti-aging	Varies	Small-format recovery.
Pure Balance	Cold plunge, sauna, red light therapy	Varies	Small-format recovery.
Walton Life Fitness Center	Corporate gym (Walmart employees)	Employee benefit	Closed ecosystem. Not public-facing.
Standard gyms (Orange Theory, CrossFit, etc.)	Group fitness	$100-200/mo	Commodity fitness. No recovery, no community, no wellness integration.

What's Missing in Bentonville

- No **multi-modality wellness destination** (movement + recovery + nutrition + community + content)
- No **thermal/contrast therapy at scale** (40+ person communal sauna, multiple plunge stations)
- No **wellness-integrated media production** facility
- No **wellness library/learning space**
- No **Ozark-integrated architectural wellness experience**
- No premium wellness brand that matches the city's economic and cultural positioning

Key insight: Bentonville has $112K median HHI, world-class cultural infrastructure, and an outdoor recreation identity — but its wellness options are either clinical, single-modality, or corporate-closed. The market is structurally undersupplied for premium, experiential wellness.

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5. Global Wellness Market Data

Market Size

- **Global wellness economy (2024):** $6.8 trillion (Global Wellness Institute)
- **Projected (2029):** $9.8 trillion (GWI); some estimates cite $10T+
- **CAGR (2024-2029):** 7.6% (GWI)
- **Consumer wellness market (McKinsey scope):** $1.8 trillion

Thermal & Social Bathing Sub-Segment (Most Relevant)

- **Market size (2024):** $71.7 billion across 31,000+ establishments globally
- **Annual growth (2023-2024):** 11.1%
- **Projected CAGR through 2029:** ~10% — outpacing broader wellness market
- **McKinsey 2024:** Explicitly names "social bathing" as a significant global consumer trend, driven by Millennial and Gen Z demand for community-anchored wellness

Key Segments

SEGMENT	2024 EST.	GROWTH
Physical activity	$976B	High
Wellness tourism	$868B	Very high
Thermal/mineral springs	$71.7B	Very high (10%/yr)
Mental wellness	$182B	Very high
Workplace wellness	$59B	Moderate

Trends Favoring This Concept

1. **Contrast therapy mainstream adoption:** Cold plunge culture driven by Huberman, Wim Hof, social media — now crossing from biohacker niche to mainstream wellness
2. **Wellness as third place:** Post-COVID demand for community spaces that aren't home or office
3. **Experiential > transactional:** Consumers paying premium for designed experiences, not just access to equipment
4. **Content-driven wellness:** Brands like Alo, Equinox, and Peloton proving media integration multiplies value
5. **Thermal wellness boom:** Sauna House, Othership, Bathhouse all expanding — category is hot
6. **Recovery mainstreaming:** Recovery modalities (sauna, cold, float, compression) moving from athlete niche to general wellness

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6. Comparable Concepts (National)

> ***Full deep-dive research available:*** `01-projects/bentonville-wellness-center/comparable-concepts-research.md` *Research updated 2026-02-25 with verified pricing, capacity, and revenue data.*

Othership (Toronto)

- **Concept:** Breathwork-guided thermal experience (sauna, ice bath, guided journeys)
- **Size:** 3,000 sqft (original) / 5,000 sqft flagship — 36-person and 90-person saunas
- **Pricing:** ~$40 USD drop-in, ~$178 USD/month unlimited membership

- **Revenue:** ~$21.3M annual run rate estimated; $20.6M raised across 3 rounds
- **Revenue model:** Memberships + drop-ins + corporate wellness + breathwork app ($100K+ digital rev)
- **Relevance:** Closest analog to our concept. Proves guided experience + community + digital content is the monetization formula.

Sauna House (Asheville, NC → 9+ locations nationally)

- **Concept:** Communal Nordic spa; franchise expansion model
- **Size:** 6,700-8,500 sqft per location
- **Pricing:** $45-59/session; tiered memberships
- **Revenue model:** Memberships + day passes + massage/private suites + retail + F&B
- **Relevance:** Inc. 5000 #838 (2024). Proves the model works in mid-size secondary markets (Asheville, Knoxville). Active franchising validates national demand.

Bathhouse (Brooklyn, NY)

- **Concept:** Social thermal wellness + restaurant/bar
- **Pricing:** $40-65/day pass; $145-225/month membership; massages from $180
- **Revenue model:** Day passes + memberships + treatments + full F&B
- **Relevance:** Demonstrates F&B as a material revenue stream. Russian Banya + tropical saunas + contrast plunges in one venue.

Aire Ancient Baths (NYC, Chicago)

- **Concept:** Ultra-luxury, silence-mandatory thermal bath in restored historic buildings
- **Pricing:** $103 thermal bath; $210-290 massage rituals; $490-660+ couples packages
- **Revenue model:** High-ticket sessions + premium treatments (low-volume, high-margin)
- **Relevance:** Ultra-premium positioning benchmark. Historic building adaptive reuse analog.

Equinox (national)

- **Concept:** Premium fitness + lifestyle brand
- **Pricing:** $198-395+/month memberships; hotels at ~$940/night avg; Equinox+ streaming at $40/month
- **Revenue:** ~$1B+ annually; 27% YoY growth in 2023
- **Revenue model:** Memberships + PT + spa + retail + hotels + media content

- **Relevance:** Benchmark for premium pricing ceiling. Proves wealthy markets support $300-400/month wellness spend. Media integration (Eq+) validates digital layer.

Therme Group (global — entering US market)

- **Concept:** Mega-scale urban thermal wellness resorts (450-500K sqft)
- **Pricing:** ~$58 USD full day (Erding); timed block pricing model
- **Revenue model:** Admission + F&B (30-35% of revenue) + ancillary upsells; no memberships
- **US plans:** 10 resorts over 10 years; $1.5B JV with Georgetown Company; Dallas + DC confirmed
- **Relevance:** Different scale entirely, but strongest signal of category maturity and investor appetite.

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7. Construction & Development Context

Adaptive Reuse Cost Benchmarks (NWA market, 2024-2025)

SCENARIO	HARD COST/SQFT	TOTAL (30-40K SQFT)
Conservative (moderate finishes)	$250-300	$7.5M-$12M
Mid (premium wellness, thermal infrastructure)	$350-450	$10.5M-$18M
High (full luxury, extensive structural work)	$500-600	$15M-$24M

Hard costs only. Add 20-25% for soft costs (architecture, engineering, permits). FF&E is additional.

Wellness-Specific Build-Out Costs

- **Basic wellness/med spa (from empty shell):** $90-130/sqft
- **Luxury spa (premium finishes):** $200-450/sqft
- **Specialized luxury spa/hydrotherapy build-out:** $500-800+/sqft
- Wellness spaces require specialized plumbing, humidity control, acoustic treatment, high electrical loads (saunas, plunges, steam). This is the primary cost driver above standard commercial.

NWA Development Context

- Construction costs in NWA are 15-25% below coastal markets
- Adaptive reuse saves 15-30% vs. new construction AND is ~30% faster to complete
- Strong contractor ecosystem due to sustained Walton-funded development
- Local materials (Ozark limestone, regional timber) available and cost-competitive
- Adaptive reuse incentives may be available through state/local programs

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8. Key Data Points for Pitch

DATA POINT	VALUE	SOURCE
Bentonville median HHI	~$112,000	Census/ACS
NWA metro population	~600,000+	Census
NWA growth rate	~25% since 2010	Census
Global wellness market	$6.8T → $10T by 2029	GWI
Crystal Bridges annual visitors	600,000+	Crystal Bridges
Walton trail investment	$100M+	Walton Family Foundation
Premium wellness membership ceiling	$200-375/mo	Equinox benchmark
Thermal wellness sessions	$45-95/visit	Othership, Bathhouse, Aire
NWA construction cost advantage	15-25% below coastal	Regional data

9. Local Competitor Pricing Summary (NWA)

COMPETITOR	MODEL	MONTHLY PRICE	SEGMENT
BlakeSt.	Private fitness + spa club (21+)	$155-255/mo + $1K initiation	Social fitness club
SALT Health	DPC medical + spa/fitness	$149/mo (spa-only) / $349-699/mo (medical)	Clinical wellness
C-Suites	Small-format contrast therapy	~$40-60/session	Single-modality recovery

Gap confirmed: No NWA competitor occupies the communal thermal wellness + guided experience + community + content production segment.

Last updated: 2026-02-25 Full comparable concepts research: `01-projects/bentonville-wellness-center/comparable-concepts-research.md`